Downward Breakouts

Reversal or continuation	Short-term bearish reversal
Performance rank	26 out of 36
Breakeven failure rate	25%
Average drop	14%
Volume trend	Downward
Pullbacks	64%
Percentage meeting price target	47%

After discovering the roof pattern in 2005, I guessed that there must be an inverted version, too, so I went hunting and uncovered this pattern.

The rank shown in the above Results Snapshot says that I wasted my time searching for the inverted roof. The pattern doesn't perform well at all. Upward breakouts show a tiny 34% rise (compared to a 42% average rise for other chart patterns) paired with a failure rate (23% versus a typical 15% rate for other chart patterns).

Downward breakouts show a massive 25.1% failing to see price drop more than 5% after the breakout, but that's close to the 24.7% average for all patterns with downward breakouts. Over a third of the patterns will bust their breakouts, too. We'll see that later.

Are there any redeeming qualities for the inverted roof? Yes. It looks pretty. The pattern can act like a diamond top, where price makes a strong push upward and then forms the inverted roof. A downward breakout from the inverted roof means price could retrace most of the rise. I discuss this scenario in the Sample Trade.

Let's take a tour and look at a few examples.

Tour

Figure 54.1 shows an example of an inverted roof on the daily chart. Price trends downward (in this example) leading to the start of the inverted roof that appears at A. Price bounces between a horizontal (or nearly so) top trendline and a V-shaped bottom multiple times. Price should touch each